
MONEYRULES SERIES

Buy-to-Let Profit Guide

How UK Rental Property Really Makes Money

*Yields, mortgages, tax and the numbers
that decide whether a deal is worth it.*

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The Two Ways Property Pays

Rental property earns in two ways: monthly rental income (cash flow) and long-term growth in the property value (capital appreciation). A good deal stacks up on cash flow today, with growth as the bonus — never the other way around.

Buy on the numbers, not on the dream.

If it does not cash-flow, it is a liability, not an asset.

Know Your Yields

Metric	Formula	Healthy range
Gross yield	Annual rent / property price	5%-8%+
Net yield	(Rent - costs) / price	3%-6%+
ROI	Annual profit / cash invested	8%-15%+

Gross yield is the headline; net yield is the truth. Always work out net yield after mortgage interest, insurance, management, maintenance and void periods.

The Costs Beginners Forget

- Stamp Duty — including the surcharge on additional properties.
- Mortgage arrangement & broker fees.
- Letting agent fees (typically 8-12% of rent if fully managed).
- Maintenance & a sinking fund for big repairs (boiler, roof).
- Void periods — budget for roughly one month empty per year.
- Landlord insurance, gas/electrical safety certificates, EPC.

The Tax Reality (Section 24)

Since the "Section 24" changes, individual landlords can no longer deduct mortgage interest from rental income before tax — instead you get a 20% tax credit. For higher-rate taxpayers this is a big deal, and it is why some landlords hold property through a limited company. Always take professional advice before buying.

Run every deal through the numbers AFTER tax.

A good gross yield can be a loss-maker after Section 24.

Your First-Deal Checklist

1. Set your strategy: cash flow, growth, or both.
2. Pick an area with strong rental demand and realistic prices.
3. Calculate gross AND net yield before viewing.
4. Get a mortgage agreement in principle.
5. Stress-test the deal: +2% interest, 2 months void — does it still work?
6. Budget all the costs above, then make your offer on the numbers.

Thank you for reading.

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